

Session 3.2: Strategic Cannibalization

Self-cannibalization, SaaS Valley of Death, and Adobe Creative Cloud transition.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

SELF-CANNIBALIZATION

Vocabulary

Key Topical Foundations

- **Christensen (1997)::** Innovator's Dilemma & customer entrapment.
- **Preemptive Cannibalization::** Sacrificing high-margin products before rivals do.
- **SaaS Valley of Death::** Cash flow trough during subscription migration.
- **Micro-Examples::** iPhone cannibalizing iPod, Kodak film trap, Netflix streaming.

Theoretical Foundations: Self-Cannibalization

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- *Christensen (1997)::* Innovator's Dilemma & customer entrapment.
- *Preemptive Cannibalization::* Sacrificing high-margin products before rivals do.
- *SaaS Valley of Death::* Cash flow trough during subscription migration.
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- *License Sunset (2012)::* Discontinuing \$2,000 upfront boxed software.
- *Subscription Pivot::* Mandating \$50/month Creative Cloud recurring subscriptions.
- *Financial Shock::* 2013-14 operating income plummeted 64% to \$423M.
- *Transformation Payoff::* Recurring revenue reached >85%; stock multiple 5x.

STRATEGIC TAKEAWAY

Self-cannibalization, SaaS Valley of Death, and Adobe Creative Cloud transition.

Enterprise Case Dissection: Adobe Creative Cloud

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

- **License Sunset (2012)::** Discontinuing \$2,000 upfront boxed software.
- **Subscription Pivot::** Mandating \$50/month Creative Cloud recurring subscriptions.
- **Financial Shock::** 2013-14 operating income plummeted 64% to \$423M.
- **Transformation Payoff::** Recurring revenue reached >85%; stock multiple 5x.

ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- **Adobe 10-K Data::** Product, Subscription, Services revenues (2011-2017).
- **Revenue Mix %::** Subscription % ($=C2/E2*100$) and Product % ($=B2/E2*100$).
- **Valley of Death::** Quantifying operating income collapse in 2013-2014.
- **100% Stacked Chart::** Plotting 7-year transition to recurring subscriptions.

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

- *Adobe 10-K Data::* Product, Subscription, Services revenues (2011-2017).
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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- *CFO Analyst Briefing::* Drafting talking points for Wall Street during 60% profit dip.
- *Healthy Decline::* Explaining why falling accounting profit proved success.
- *Migration Policy::* Forced immediate cutover vs. multi-year legacy transition.
- *Executive Memo::* Managing shareholder expectations through business model transitions.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

- **CFO Analyst Briefing::** Drafting talking points for Wall Street during 60% profit dip.
- **Healthy Decline::** Explaining why falling accounting profit proved success.
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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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- **Revenue Mix %::** Subscription % ($=C2/E2*100$) and Product % ($=B2/E2*100$).
- **Valley of Death::** Quantifying operating income collapse in 2013-2014.
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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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